Business Economics

Tutorial 05

01. The following table presents data on the number of workers employed and the corresponding total production of paddy.

Number of workers (L)	Total paddy production (P)	AP	MP
0	0		
1	3		
2	10		
3	24		
4	36		
5	40		
6	42		
7	42		
8	40		

Required:

i. Using the available information, complete the table by calculating the relevant production measures.

ii. Then, plot and clearly label the Total Product (TP), Marginal Product (MP), and Average Product (AP) curves based on the completed data.

iii. Finally, provide a brief explanation of the relationships observed in the TP, MP, and AP curves.

02. Following information is relevant to garment manufacturing company.

Number of workers (L)	Total production (P)	AP	MP
1	24		
2	72		
3	138		
4	216		
5	300		
6	384		
7	462		
8	528		
9	576		
10	600		
11	594		
12	552		

Required:

i. Fill the table using given information

ii. Identify the labour and product range where the firms experience increasing marginal returns, diminishing marginal returns and negative marginal returns.

03. Following table indicates the data set for sugar production. The firm has Total Fixed Costs (TFC) of Rs. 1500.00

Q	TFC	TVC	TC	AFC (TFC/Q)	AVC (TVC/Q)	ATC (TC/Q)
0		0				
1		250				
2			1850			
3		500				
4		750				
5			3500			
6			3750			
7			4000			
8			4500			
9		3200				
10		3500				